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Still More about the Fourth Dimension

The financial community's appraisal of a company's own characteristics is an even more important factor in the price-earnings ratio than is the appraisal of the industry in which the company is engaged. The most desirable investment traits of individual companies have been defined in our discussion of the first three dimensions of a conservative investment. In general, the more closely the financial community's appraisal of a particular stock approaches these characteristics, the higher will be its price-earnings ratio. To the degree by which it falls below these standards, the price-earnings ratio will tend to decline. The investor can best determine which stocks are importantly undervalued or overvalued by a shrewd determination of the degree to which the real facts concerning any particular company present an investment situation significantly better or significantly worse than that painted by the current financial image of that company.

In making a determination as to the relative attractiveness of two or more stocks, investors often confuse themselves by attempting too simple a mathematical approach to such a problem. Let us suppose, for example, they compare two companies, the profits of each of which, after careful study, appear to afford prospects of growing at a rate of 10 percent a year. If one is selling at ten times earnings and the other at twenty times, the stock selling at ten times earnings appears cheaper. It may be. It also may not be. There can be a number of reasons for this. The seemingly cheaper company may have such a leveraged capitalization (interest charges and preferred dividends that must be earned before anything accrues to the common-stock holder) that the danger of interruption of the expected growth rate may be much greater in the lower price-earnings-ratio stock. Similarly, for purely business reasons, while the growth rate would seem a most probable estimate for both stocks, nevertheless the chance of the unexpected upsetting these estimates may be considerably more for the one stock than for the other.